

Higher deposit cost weighing margins !!

AU SFB delivered sub-optimal PAT of INR 2.7 bn (+32% yoy/-22.6% qoq) which was largely led by MTM loss of INR 55 cr and higher opex cost (CI ratio of 65% for Q1). Although the asset growth was healthy for the quarter, margins came off sequentially by 40 bps to 5.9% in Q1FY23 (reported). However, going forward, the bank expects to sustain margins at previous year levels of 5.7%. Asset quality outlook remains stable - incremental slippages were at INR 2.5 bn vs. INR 2 bn last quarter. Given superior return ratios and higher growth, we retain our BUY rating on the stock with revised TP of 700 (we have assigned target multiple of 3.8x FY24e ABV)

- **Asset growth was strong** – AUM growth for the quarter was strong at 37% yoy to INR 501.6 bn, while the disbursements were up by 345% yoy. Considering the smaller size, the bank can comfortably grow >25% levels in the near future. We assume the credit to grow by 27% CAGR over FY22-24e.
- **Bank likely to raise equity capital in current fiscal** – The board of the bank has approved to raise equity capital in current fiscal as the balance sheet growth is high & therefore capital consumption is also on higher end. Current CAR is at 20% and Tier I is at 19.1%. The rate at which the bank is consuming the capital, Tier I would fall below the bank's comfort level of 15%. We have assumed capital infusion of INR 18 bn in current fiscal, which will lead to dilution of 5%.
- **Margins were down 40 bps qoq, however, management sounds confident of maintaining the margins** – Incremental margins for the quarter were at 5.9% vs. 6.3% in Q4FY22 which was led by increase in cost of funds. Incremental cost of funds have increased by 40 bps from 5.3% to 5.7% qoq while yields were up by 60 bps from 12.1% to 12.7%.

Rating	TP (Rs)	Up/Dn (%)
BUY	700	21

Market data

Current price	Rs	577
Market Cap (Rs.Bn)	(Rs Bn)	364
Market Cap (US\$ Mn)	(US\$ Mn)	4,548
Face Value	Rs	10
52 Weeks High/Low	Rs	733 / 462
Average Daily Volume	('000)	2,727
BSE Code		540611
Bloomberg		AUBANK.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	28.21	28.21
Public	71.79	71.79
Total	100	100

Source: Bloomberg

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	24	32	44	59
PAT	12	11	13	18
Networth	63	75	109	126
Adj BVPS (Rs)	177	231	160	184
EPS (Rs)	37	36	20	28
P/E (x)	16	17	29	22
P/Adj BV (x)	3.4	2.6	3.7	3.2

Source: Dalal & Broacha Research, Company

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On the asset side, the bank has 75% of the loans are fixed prices ones (avg. duration is 2 yrs) while 25% are floating based ones (avg. duration of 4 yrs). On the liabilities side, bulk TDs form ~30% of total deposits. Management expects any higher deposits cost will be passed onto the customers without much comprising on the growth. The bank is upbeat on maintain margins similar to last year levels at 5.7% levels.

- **Asset quality stable** - Incremental slippages were at INR 2.5 bn vs. INR 2 bn last quarter while GNPA/NNPA stands at 2%/0.6%. Additionally, the bank is carrying INR 144 cr in contingency provisions and INR 170 cr towards standard restructured loans. The bank expects full year credit cost to be at 50-70 bps. Demand environment looks upbeat wherein the profitability of the companies looks robust, hence, there is no much risks on the asset quality side of the bank
- The bank booked MTM loss of INR 55 cr which dragged other income by 49% qoq to INR 1.6 bn

Valuations

At current CMP of Rs596, the bank is trading at 3.7x FY23e and 3.2x FY24e ABV (we have assumed the bank to raise equity capital to the tune of INR 18 bn in FY23). Management highlighted that it has ability to pass on higher deposit cost to the borrowers, resulting in stable margin outlook for current fiscal. given stable margin outlook and higher asset growth, NII growth is also likely to be strong (35% CAGR FY22-24e). In addition to this, asset quality outlook is also benign. Given superior return ratios and higher growth, **we retain our BUY rating on the stock with revised TP of 700** (we have assigned target multiple of 3.8x FY24e ABV).

Quarterly Financials

P&L (Rs Bn)	Q4FY 21	Q1FY 22	Q2FY 22	Q3FY 22	Q4FY 22	Q1FY 23	YoY	QoQ
Interest Earned	12.9	13.5	14.0	15.0	16.7	18.2	0.3	0.1
Interest Expended	6.4	6.3	6.5	6.8	7.3	8.4	0.3	0.2
NII	6.6	7.2	7.5	8.2	9.4	9.8	0.3	0.0
Other Income	2.8	2.1	1.9	2.8	3.1	1.6	-0.3	-0.5
Net Income	9.3	9.4	9.5	11.0	12.5	11.4	0.2	-0.1
Opex	5.6	4.6	5.5	6.4	7.7	7.4	0.6	0.0
PPOP	3.7	4.8	3.9	4.6	4.8	3.9	-0.2	-0.2
Provisions	1.8	2.1	0.0	0.6	0.9	0.4	-0.8	-0.6
PBT	2.0	2.7	3.9	4.0	3.9	3.6	0.3	-0.1
Tax	0.3	0.7	1.1	1.0	0.4	0.9	0.2	1.0
PAT	1.7	2.0	2.8	3.0	3.5	2.7	0.3	-0.2
Balance sheet (Rs Bn)								
Networkth	63	65	68	71	75	78	20.0%	3.7%
Deposits	360	370	390	443	526	546	47.6%	3.9%
Borrowings	70	61	50	46	60	61	0.2%	2.0%
Other Liabilities	23	18	25	27	30	25	43.2%	-16.1%
Total Liabilities	516	514	532	586	691	710	38.3%	2.8%
Cash & Bank	48	48	42	27	59	33	-30.7%	-43.9%
Investments	108	112	117	141	153	172	54.5%	12.5%
Advances	346	340	358	402	461	487	43.3%	5.6%
Other Assets	14	15	15	16	17	18	26.3%	4.9%
Total Assets	516	514	532	586	691	710	38.3%	2.8%
Key Ratios (%)								
GNPA (%)	4.3	4.3	3.2	2.6	2.0	2.0	-235 bps	-1 bps
NNPA (%)	2.2	2.3	1.7	1.3	0.5	0.6	-169 bps	6 bps
PCR (%)	50	49	49	51	75	72	2285 bps	-339 bps
C/I Ratio (%)	60	49	58	58	61	65	1657 bps	394 bps
C/D Ratio (%)	96	92	92	91	88	89	-268 bps	140 bps

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Bn)	FY21	FY22	FY23e	FY24e	Ratios	FY21	FY22	FY23e	FY24e
Interest income	49.5	59.2	82.1	108.8	Growth (%)				
Interest expense	25.8	26.9	38.4	50.1	NII	24	37	35	34
NII	23.7	32.3	43.7	58.7	PPOP	78	-15	25	36
Non-interest income	14.2	9.9	11.5	14.3	PAT	73	-3	19	35
Net revenues	37.9	42.3	55.2	73.0	Advances	28	33	28	27
Operating expenses	16.6	24.1	32.6	42.3	Deposits	38	46	34	32
PPOP	21.3	18.2	22.6	30.7	Spread (%)				
Provisions	6.7	3.6	4.7	6.4	Yield on Funds	10.9	10.1	10.7	11.1
PBT	14.6	14.5	17.9	24.3	Cost of Funds	6.5	5.3	5.7	5.8
Tax	2.9	3.2	4.5	6.1	Spread	4.3	4.8	4.9	5.3
PAT	11.7	11.3	13.4	18.2	NIM	5.2	5.5	5.7	6.0
					Asset quality (%)				
Balance sheet	FY21	FY22	FY23e	FY24e	Gross NPAs	4.3	2.0	1.9	2.0
Share capital	3	3	7	7	Net NPAs	2.2	0.5	0.6	0.6
Reserves & surplus	60	72	102	120	Provisions	50	75	70	69
Net worth	63	75	109	126	Credit Cost	1.9	0.8	0.8	0.9
Deposits	360	526	704	931	Return ratios (%)				
Borrowings	70	60	51	42	RoE	22.0	16.4	14.6	15.4
Other liability	23	30	20	22	RoA	2.5	1.9	1.7	1.8
Total liabilities	516	691	884	1121	Per share (Rs)				
					EPS	37	36	20	28
Fixed assets	5	6	7	8	BV	201	239	165	191
Investments	108	153	195	242	ABV	177	231	160	184
Loans	346	461	589	747	Valuation (x)				
Cash	48	59	81	111	P/E	15.9	16.6	29.4	21.7
Other assets	9	11	12	13	P/BV	3.0	2.5	3.6	3.1
Total assets	516	691	884	1121	P/ABV	3.4	2.6	3.7	3.2

Source: Company, Dalal & Broach Research

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